

offer home loans for 3.5 percent down, no wonder the housing market remains a slippery slope!

Though conventional mortgages require a down payment of 20 percent, home buyers can easily secure a smaller down payment by obtaining private mortgage insurance. Because nothing is free where banks are concerned, PMI curtails a hefty fee for the homeowner. Depending on your credit rating and the length of your loan, it typically costs around 0.5 to 1 percent of your mortgage balance each year.

I'm far more conservative than the bank or the government. I like to see a down payment of 20 to 25 percent, even on a lower-priced home. But the additional cost of private mortgage insurance is a good cutoff. If you can't put down 20 percent and avoid that fee, you probably can't afford to buy a house. If you *do* buy that house, count on being house poor. PMI protects the bank in the event that you default. That means if you're putting only 15 percent down on a \$500,000 home, you're throwing \$4,250 away on private mortgage insurance—and that's just the first year. Dumb. Don't do that. Rent instead, and save until you've got your 20 percent together.

Another good rule of thumb is not to buy a house that'll sap more than 25 percent of your income, or up to 30 percent in cities where homes are above average in price. Sure, the Ability-to-Pay and Qualified Mortgage rule says 43 percent, but that's way too high for my blood. Consider Sam and Lila, whose combined yearly income is \$100,000. Their mortgage payments, tax, upkeep, and insurance shouldn't add up to more than \$25,000 a year. If they live in Minneapolis, that would be a realistic ratio. But if they live in San Francisco, where the average cost of a single-family home is \$780,000, or New York City, where the average home costs \$1,020,000, they'd be spending anywhere from 45 to 60 percent of their household income just on their home.

More than almost any other financial decision you make, a mortgage will determine your quality of life for years to come. When you're spending 60 percent of your monthly salary on your home, the quality of your life suffers. And many people pay right to the level they can afford. In other words, they stretch, and their ambition